

Q3 2019 Earnings Call

Company Participants

- Cameron Donahue, Partner And Regional Vice President
- Edwin F. Negron-Carballo, Chief Financial Officer
- John Fieldly, President and Chief Executive Officer

Other Participants

- Anthony Vendetti, Maxim Group
- Gerry Khermouch, Beverage Insights
- Jeff Van Sinderen, B. Riley
- Jeffrey Cohen, Ladenburg Thalmann

Presentation

Operator

Greetings and welcome to Celsius Holdings Third Quarter 2019 Earnings Conference Call. (Operator Instructions)

It is now my pleasure to turn the conference over to your host Cameron Donahue of Hayden IR. Thank you. You may begin.

Cameron Donahue {BIO 16529132 <GO>}

Thank you and good morning, everyone. We appreciate you joining us today for Celsius Holdings Third Quarter Earnings Conference Call. Joining me on the call today are John Fieldly, President and Chief Executive Officer; and Edwin Negron, Chief Financial Officer.

Following the prepared remarks, we'll open the call to your questions and instructions will be given at that time. The company follows Form 10-Q with the SEC and issued a press release today. All materials are available on the company's website at celsiusholdingsinc.com under the Investor Relations section.

As a reminder before I turn the call over to John, the audio replay will be available later today. Please also be aware that this call may contain forward-looking statements which are based on forecast, expectations, and other information available to management as of today November 7 2019.

These statements involve numerous risks and uncertainties including many that are beyond the company's control. Except to the extent as required by applicable, Celsius Holdings undertakes no obligation to disclaims any duty to update any of these forward-looking statements.

We encourage you to review in full our safe harbor disclosures contained in today's press release and our quarterly filings with the SEC for additional information.

With that, I'd like to turn the call over to our President and Chief Executive Officer John Fieldly for his prepared comments. John?

John Fieldly {BIO 17560616 <GO>}

Thank you, Cameron and welcome everyone and thank you for joining us today. Our third quarter 2019 financial results reflect the outstanding work our team is doing to drive higher volumes through deeper replacements and existing and new accounts as well as leveraging our infrastructure to improve profitability all while demand for Celsius continues to rise.

We are capitalizing on the accelerated macro industry trends for healthy better-for-you products that are driven by the growing demand by health mining consumers looking for healthier alternatives to conventional products. We are seeing great demand for the Celsius portfolio and are outpacing many larger more established brands as we position ourselves as a leader in functional energy drinks through our health and fitness routes providing proven functional energy differentiating ourselves from the competition.

As we continue our expansion further in traditional retail, we are seeing higher velocity rates and greater consumer acceptance in each step we take which is further increasing our optimism. Our active healthy lifestyle position is a global position with mass appeal. For the third quarter of 2019, we delivered a record \$20.4 million in revenue with double-digit revenue growth of more than 20% with a positive net income of approximately \$1 million or \$0.02 per share.

Our record third quarter revenue came in versus a comparable period in 2018 where we had a \$1.3 million and sales from the second quarter of 2018 and to the third quarter of 2018 in North America as well as approximately \$1.35 million in Asia sales which only totaled \$200,000 from non-China sales in 2019 due to the shift in a royalty model being initiated in the beginning of 2019.

Excluding those items, we saw exceptional revenue growth of 45% for the third quarter. North America sales reached a new record of approximately \$16.8 million for the quarter. And excluding the \$1.3 million shift in sales in 2018 revenues grew 66% for the quarter in 2019 versus the prior year on a normalized basis.

Year-to-date revenue growth totaled 52% for the first nine months of 2019 which demonstrates the demand for our portfolio and our ability to execute and drive

profitable growth. Subsequent to quarter-end, we completed the acquisition of Func Food Group, our Nordic distribution partner which is not included in our third quarter results as the transaction took place on October 24th in the fourth quarter.

We are extremely excited about the transaction and the upside opportunity this provides Celsius and our shareholders going forward. We welcome the Func Food team to our family and after Edwin reviews the financial results for the quarter, I will be providing additional details on the acquisition. Our revenue for the first nine months of 2019 totaled \$51 million which is close to outpacing our full year revenue in 2018, up \$52.6 million.

Clearly, we are on track for another record-setting year. We remain steadfast in our strategy to position Celsius as a global leader for health mining consumers. And in doing so continue to expand our presence, increased volume, and elevate our brand. Through our focus and drive, we are gaining brand love and acceptance from more and more consumers each and every day. As our passion for living better and living fit is motivating to all.

This motivation is gaining interest from some of the largest retailers in the country looking to update their planograms to align with today's health mining consumer. And we anticipate Celsius will continue to gain availability heading into and through 2020. Our pursuit toward a national distribution network now includes and totals more than 70 regional direct store delivery DSD partners, many of which are premier beverage distributors. Expanding to a national distribution direct store delivery network is designed to increase our in-store presence and designed to improve our execution in the trade and expand our availability and enables us to stronger inventory management in retail stores reducing the out of stocks with our high velocity brand.

We expect to achieve majority coverage across the United States in the next 12 months if not sooner, which is to be a best-in-class accomplishment within a highly competitive beverage industry. We are rapidly leveraging our new regional delivery distribution partners, creating significant opportunities to further build out across all markets of trade. Especially in the convenience channel where we are significantly outpacing many established competitors and the sales growth metrics.

According to most recent spins data third-party data in the convenience channel shelf-stable Energy & Functional beverage data set for the prior 52 weeks ending September 8, 2019 shows Celsius is growing at a 41.1% growth rate versus the prior year which is outpacing the category growth by 4.3x with only an 11.9% ACV which is all accumulated volume indicating that Celsius has a long growth runway ahead as we further expand in the convenience channel and continue to outpace competitors.

We have experienced the most significant expansion in the distribution network within the independent Anheuser-Busch wholesaler network which has increased from 6 distribution partners within the wholesaler network to 31 since February. In

addition, we have expanded within the Miller Coolers Pepsi and Keurig Dr.Pepper affiliated wholesalers.

With the accelerated expansion, we are very excited to now have approximately 2,500 wholesale sales representatives now selling Celsius nationwide on our behalf. In the first half of this year, we signed a distribution agreement with Big Geyser New York's largest independent non-alcoholic beverage distributors serving the 5 boroughs of New York City and the counties of Nassau Suffolk Westchester and Putnam.

Big Geyser serves more than 20,000 locations in the massive New York City metropolitan area and has been instrumental in building numerous brands. Starting in the third quarter of 2019, Big Geyser will be -- is our preferred distribution partner servicing all 7-Elevens in the territory which will significantly increase our distribution in the New York market.

And in addition, we are in the process of transitioning target stores over to Big Geyser in the territory which will further increase our availability and velocities. As we build out our DSD network, we will continue to transition accounts over to this preferred route to market which will further increase our in-store presence and velocities at retail.

Subsequent to quarter-end, we signed a national authorization with Foodbuy, a business unit of Compass Group North America and the largest Food Service procurement and supply chain solution organization in North America with over 85,000 unique customer locations.

Celsius branded drinks are now available nationwide across all Compass Group North America business units. The new channel adds incremental market opportunities for us which include hospitals, airports, college campuses, restaurants and casinos among others and further adds to our momentum in the food service channel.

In addition the vending channel, we are now available through over 400 vending suppliers who cover over 10,000 micro markets and thousands of healthy vending units throughout the United States. The convenience channel continues to be and represent the largest opportunity of the energy drink sales in the country with a more than \$9 billion in annual sales.

Industry backed third-party data continues to validate our position as a healthy functional fitness drink that's resonating with today's consumer. As stated, there's third-party spins data at September 8, 2019 shows Celsius is growing at a 41.1% year-over-year increase for our portfolio in the convenience channel outpacing competitors in the category.

This demonstrates Celsius warrants additional shelf space and we are leveraging this data with buyers. We are currently working on planogram resets for

2020. Most recently earlier this year, we launched placements with premier convenience store chain QuickTrip and look forward to further partnering in 2020.

In addition, we recently expanded distribution to additional 3,300 convenience stores where placements will start to take place throughout the third quarter and will continue through the fourth quarter. With most recent expansion including Circle K in the Southeast minus Convenience Flying J and Pilot as well as additional regional chains with more to coming on board throughout 2020.

We continue to expand our portfolio with delicious flavors. Just subsequent to quarter-end in the third quarter, we launched our newest flavor, great fruit mailing Green Tea at the 2019 National Association of Convenience Store shows in Atlanta, on October 2 through the fourth. This is the largest convenience store show in the country.

At the show, we received great reviews and interest as our noncarbonated Green Tea offerings which are attracted to new consumers entering the energy drink category looking for noncarbonated offerings. As the energy drink category continues to evolve and gain broader appeal, it's attracting new consumers wanting more out of their beverage and noncarbonated offerings are gaining interest from retailers looking to attract these new consumers into the category.

The addition of the new flavor highlights the continued growth of our proven functional beverages and demand for healthier energy drinks offering vitamins without sugar and calories down in traditional energy drinks. The food for noncarbonated Green Tea flavor is an on trend addition to our current Green Tea flavors that we believe will continue to appeal to a broader base of energy drink in consumers.

The strengthening of our Green Tea as a flavor profile is a refreshing way to highlight the Green Tea that is already one of our key ingredients in our proprietary Metaplus formula. This launch came on the heels of the second quarter launch of our ninth flavor great-tasting sparkling Fuji Apple Pear which we launched in the fitness and vitamin specialty channels, and throughout GNC, with a mandatory 1,800 locations approved an authorization across all sets.

In addition, Fuji Apple Pear is now also available at Select 7-Eleven and throughout Amazon and is gaining distribution throughout many retailers in the country, as well as across the fitness channel where we gained distribution in top-tier fitness retailers nationwide including the likes of Gold's Gym, 24-hour. Crunch Fitness, Export fitness Youfit Equinox via Earthbar as well as In-Shape Fitness and many others are now selling sparkling Fuji Apple Pear which has become one of the top-selling flavors at many locations.

In addition to the great-tasting flavor line expansions, our innovation team is working on developing offerings targeting verticals in adjacent categories which will further increase the breadth of our portfolio. Our mission is to become a global leader of a

branded portfolio which is proprietary clinically proven and are innovative in its category and offer significant health benefits. During the third quarter, we further expanded our portfolio to include an innovative branched-chain amino acid BCAA functional beverage that fuels muscle recovery.

The BCAA product line which was initially launched in the fitness channel and further establishes the company as a leading innovator in the functional beverage market. Celsius BCA recovery drink debuted in September at the renowned 2019 Mr.Olympia before a premier demographic of athletic trainers bodybuilders, Endurance athletes and Gym goers. The Mr.Olympia is the world's most prestigious fitness industry showcase event, an international bodybuilding competition that is held annually by the international federation of bodybuilding and fitness.

Our new BCA recovery line is an extension of our strategy to introduce innovative beverages for today's health mining consumer which comes in three great flavors, and has been highly accepted by retail partners and initial reorders have been strong and we anticipate this new line to add meaningful growth in 2020. In North America, we have increased the number of retail locations where our products are available by 57% in 2019 to over 60,000 locations nationwide. Our expansion into household name retailers such as Target and CVS have greatly increased product availability while our relationship with Kroger, the largest US grocery store chain has significantly expanded to include over 1,100 locations nationwide.

Kroger will initially carry between 4 and 7 flavors of Celsius depending on the region's location of the store. Exponential growth across all channels of trade continues to accelerate in North America. In Europe, revenues for the third quarter were down 11% coming in at approximately \$3.4 million and slightly down to flat for the first nine months of 2019 due to the timing of new flavor launches, promotional programs and timing of orders. Please keep in mind, these revenues are derived from Celsius sales to our Nordic partner and are not sales from our Nordic partner to retail locations and consumers i.e. sell in or sell through data.

In addition, these figures are not consolidated as the function group acquisition took place post quarter-end on October 24. During the quarter, our partners saw great demand for our Celsius portfolio with the launch of two new great flavors, Peach Vibe and Frozen Berry which have been in high demand. We are very optimistic of the team's focus, execution and plan for 2020 as they continue to expand into new channels of trade and further increase market share throughout the Nordics.

After Edwin reviews our financial results, I'll be providing additional details on the acquisition of the Func Food Group. Earlier this year, we completed a realignment of our China business operations with the signing of a royalty agreement which has further reduced our in-country early market brand awareness investments and reduced our use of working capital. While still providing us with the opportunity to extend and reach of our products and grow revenues through a license and royalty model.

As such higher sales with consistent gross margins and lower expenses related to China were the primary drivers of us delivering positive net income in the third quarter of this year. In addition to capturing licensing and royalty revenue by serving the enormous China market, the agreement also provides us with a vehicle to recoup \$12.2 million of market investments we made in prior years over a 5-year period by our counterparty Qifeng foods has exclusive rights to manufacture market and commercialize Celsius branded products in China. Through this agreement, we have created a collaborative relationship that will serve the benefit for each of us.

As we strive to capitalize on the considerable consumer demand in the region. Qifeng Foods has relationships and a network of distribution partners that brings our four flavors of Celsius to 63 cities and over 65,000 locations across China. Moving to marketing and supporting our growth in North America, we launched our first national Gorilla marketing tour featuring various interactive fitness activities including outdoor classes hosted by popular instructors from around the nation, as well as competitive activities to inspire attendees and influencers to find what motivates them to live an active lifestyle.

The lifted tour officially kicked off in New York City on September 7th with a Celsius branded fitness event in Union Square. We are bringing our Celsius lifted toward a 12 cities around the country including Boston, Seattle, Portland, San Francisco, Los Angeles, San Diego, Phoenix, Dallas, Miami Orlando, Tampa and others with a goal of inspiring and creating movement which energizes each city with approximately 300,000 samples to be distributed along the way.

Along with a tour, we will be stopping at various retailers, distributors, local events, fitness partners like Planet Fitness Gold's Gym 24-hour and others and this program overlays over our distribution and is designed to build consumer awareness and activate the trade and retail partners in key markets through various media platforms. We also remain very active with Tough Mudder series of competitive events with a range of athletic ability through this relationship we are in the process of sampling to more than 200,000 health minded consumers in 23 cities across the country reaching new markets and new communities.

In addition, we are conducting targeted marketing gorilla campaigns in key markets and interacting with consumers where they live, work and, play all through a variety of media platforms. We remain committed to our strategy of expanding our distribution network through high-quality distribution partnership and growing deeper and broader with existing accounts and leveraging our infrastructure to optimize returns and profitability. I look forward to speaking with you again when we report our results for the full year 2019.

I will now turn the call over to Edwin Negron-Carballo, our Chief Financial Officer for his prepared remarks. Edwin?

Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Thank you, John. For the three months ended September 30, 2019, revenue was a robust \$20.4 million which translates to an increase of \$3.8 million or 23% when compared to \$16.6 million for the same period last year. The 23% increase was driven by continued strong growth in North American revenue of 48% mainly related to double-digit growth in both existing accounts and distribution expansion.

This growth was partially offset by a decline in European revenue of 11% due to product availability aspects which have since been remediated. Asian revenues reflect a change in our business model in China to a royalty and license fee arrangement. Although revenue was lower in Asia, there was also a corresponding decrease in expenses which significantly contributed to improving our profitability in the third quarter.

As has been our historical trend, the overall increase in revenues was primarily due to increases in sales volume as opposed to increases in product pricing. Gross profit for the three months ended September 30, 2019 increased by \$1.7 million or 26% to \$8.6 million, up from \$6.9 million in the year-ago quarter. The increase was driven by higher sales volume and revenue. Gross profit margin for the three months ended September 30, 2019 also reflected an improvement at 42.2% compared to 41.5% for the same period in 2018.

Sales and marketing expenses for the three months ended September 30, 2019 were \$4.9 million, a decrease of \$3.8 million or 43% from \$8.7 million in the same period in 2018. The decrease is mainly due to lower marketing expenses of \$5.1 million related to the change in our business model in China which now does not require any direct marketing investment. This decrease was partially offset by investments of \$1.3 million in other marketing initiatives, trade activities, and higher broker commissions and storage and distribution costs in order to support our higher business volume.

General and administrative expenses for the three months ended September 30, 2019 were \$2.2 million, a decrease of \$93,000 or 4% when compared to \$2.3 million for the three months ended September 30, 2018. The decrease was primarily due to lower stock option expense of \$253,000 and a decrease in other administrative expenses of \$33,000 which were partially offset by increases in expenses related to the acquisition of our Nordics distributor of \$145,000 and increases in other general and administrative expenses amounting to \$48,000 when compared to the same period last year.

Total other expenses amounted to \$543,000 for the three months ended September 30, 2019, up from \$43,000 for the three months ended September 30, 2018. The increase is primarily the result of interest expense of \$109,000 and the amortization of discounts on notes payable of \$528,000 which was partially offset by interest income related to the receivable from our China distributor of \$96,000. The net result for the three months ended September 30, 2019 was net income to common shareholders of \$961,000 or \$0.02 per basic share based on a weighted average of 59,307,404 shares outstanding.

And after adding back interest expense on convertible notes of \$105,000 and amortization on discount on notes payable of \$528,000, a dilutive net income available to common shareholders of \$1.6 million or \$0.03 per share based on a weighted average of 62,532,510 shares outstanding which includes the dilutive impact of stock options of 992,693 shares and the dilutive effect of the convertible notes of 2,232,412 shares.

In comparison, for the three months ended September 30, 2018, the company reported a net loss of \$4.2 million inclusive of a preferred stock dividend of \$44,000 or a loss of \$0.08 per basic and dilutive shares based on a weighted average of 51,098,575 shares outstanding. The year-over-year increase in share count was primarily the result of the conversion of preferred stock to common stock at the end of 2018 and the capital raise and the conversion of notes payable to common stock in the current year.

Adjusted EBITDA for the third quarter of 2019 was \$2.4 million compared to a loss of \$2.9 million in the third quarter of 2018, a significant improvement over last year. Our calculation of adjusted EBITDA for the three months ended September 30, 2019 includes favorable adjustments for depreciation and amortization of \$549,000. Net interest expense of \$12,500, stock-based compensation, expense of \$900,000, and the impact of a translation loss on the note receivables from China of \$1,900.

Additionally, for the third quarter of 2019, our net non-GAAP adjusted EBITDA amounted to \$2.6 million which also compares favorably to the 2018 results of \$2.2 million which excluded the impact of the investments in Asia of \$5 million. We believe this information and comparisons of adjusted EBITDA and other non-GAAP financial measures enhance the overall understanding and visibility of our true business performance. To that effect, a reconciliation of our GAAP results to non-GAAP figures have been included in our earnings release.

Now turning to our year-to-date results. For the first nine months of 2019, revenues increased 35% to \$51 million, up from \$37.9 million in the first nine months of 2018. The increase was the result of a strong year-over-year growth in North American sales of 52% which similar to the quarter was driven by double-digit growth in existing accounts and distribution expansion. In Europe, the revenue increase of 7% was driven in large part by the launch of new flavors which have been very well accepted in the market.

Increases in North America and in Europe were partially offset by a decline in Asian revenues related to the change in our business model. Gross profit increased by \$5.6 million or 36% to \$21.2 million in the first nine months of 2019, compared to \$15.6 million for the first nine months of 2018. Gross profit margin increased by 38 basis points to 41.6% for the first nine months of 2019 compared to 41.2% in the year-ago period. The increase in gross profit dollars is primarily attributable to increases in sales volume.

Sales and marketing expenses decreased by 24% to \$14.1 million for the first nine months of 2019 compared to \$18.4 million for the first nine months of 2018. The decrease is primarily due to the reduction in marketing expenditures in China as a result of the change in our business model in that country which no longer requires direct marketing investments. This reduction basically amounted to \$8.1 million. Excluding the China impact and on a more comparable basis, marketing spend was up \$3.8 million mainly related to increases in marketing investments of \$506,000 support to our distributors and investment in trade activities of \$1.8 million higher broker commissions of \$350,000, investments in selling and marketing employees of \$350,000, in higher storage and distribution costs of \$1.1 million.

These increases are related to higher business volume during the nine months ended September 30, 2019 compared to the same period last year. General and administrative expenses for the first nine months of 2019 were \$7.2 million, a slight decrease of 2.4% compared to \$7.4 million for the year-ago period. The decrease was primarily due to the inclusion of an accrual of \$945,000 in the prior year that pertained to the settlement of a territorial dispute with a former distributor.

Excluding this impact, general and administrative expenses increased by \$764,000 primarily as a result of a \$250,000 increase in stock option expense, a \$145,000 related to the acquisition of our Nordic distributor as well as investments in employee costs to support our continued growth and increases in professional fees insurance and other similar administrative costs which translated to a total increase of \$361,000 in these areas when compared to the nine month period ended in September 30, 2018.

Below the operating line, other income was \$11.3 million for the first nine months of 2019 compared to other expense of \$123,000 in the prior year period. Basically as a result of the note receivable from our China distributor that was signed at the beginning of this year. Under the terms of this agreement we will obtain the net investment we had previously made in China.

As a result of the above, for the nine months ended September 30, 2019, net income to common shareholders was \$11.1 million or \$0.19 per basic share based on a weighted average of 58,023,685 shares outstanding. And after adding back, the interest expense on convertible notes of \$248,000 and amortization on discount on notes payable of \$707,000 a dilutive net income available to common shareholders of \$12.2 million or \$0.20 a per share-based on a weighted average of 620,50,032 shares outstanding which includes the dilutive impact of the stock options of 1,223,700 shares and the dilutive effect of the convertible notes of 2,802,647 shares.

In comparison for the nine months ended September 30, 2018, we had a net loss of approximately \$10.4 million and after giving effect to the preferred stock dividends of approximately \$169,000 a net loss available to common shareholders of \$10.5 million or a loss of \$0.21 per basic and diluted shares based on weighted average of 49,675,624 shares outstanding. Adjusted EBITDA for the first nine months of 2019 was \$3.3 million which compares to an adjusted EBITDA loss of \$7.1 million in the year-ago period. Also a considerable improvement over prior year results.

Our calculation of adjusted EBITDA for the nine months ended September 30, 2019 includes favorable adjustments for depreciation and amortization of \$770,000. Net interest expense of \$72,000 stock-based compensation of \$3.3 million, and the gain on the note receivable from China, net of translation gain and losses which amounted to \$12.1 million as of the end of the quarter.

Additionally, our net non-GAAP adjusted EBITDA for the nine months ended September 30, 2019 amounted to \$3.4 million which also compares favorably to the 2018 results of \$2.1 million which excluded the impact of the investments in Asia of \$8 million. As of September 30, 2019, we had cash of \$20.5 million compared to \$7.7 million as of December 31, 2018.

We had working capital of \$37.9 million as of September 30, 2019 compared to \$19.6 million as of December 31, 2018. Cash used in operations for the nine months ended September 30, 2019 was \$966,000 compared to \$9 million for the first nine months of 2018.

I will now turn the call back to John to provide some additional details on the Func Foods acquisition.

John Fieldly {BIO 17560616 <GO>}

Thank you, Edwin. In Europe and subsequent to quarter-end, we completed our acquisition of Func Food, our Nordic partner who is a wellness company that markets and distributes beverages protein bars supplements and Super Foods under the brands Celsius Fast Sports Nutrition, CocoVi and FitFarm which represents a comprehensive portfolio of well-being products which promotes active and healthy lifestyles for approximately \$24.2 million, which comprise of about \$14.8 million in cash and \$9.4 million with the assumption of outstanding restructured debt.

This is an important next step in our strategy to build a global dominant brand and solidify our position in the Nordics where Celsius has a dominant presence in Sweden, while opening new distribution platforms for the rest of Europe. At the same time, this transaction provides us with the ability to bring an entirely new yet complementary product offering to consumers through the innovative fast protein bar business.

The acquisition which was valued at a significantly below our revenue multiple of approximately 1x incremental revenue and approximately increases revenue on an annualized basis by over \$25 million provides immediate accretion and will improve our cash flows and present incremental opportunities to expand our footprint throughout Europe.

The strategic acquisition provides us with additional scale and is expected to provide a meaningful increase in our top line with the expected pro-forma consolidated revenue run rate of approximately \$100 million while enabling us to maintain our historical solid gross profit margins, extracting significant operational efficiencies that will allow us to reinvest for future growth. Please keep in mind that

consolidated revenues will start as of October 24, and will not be included into our -- will be included in our Q4 financial results post the acquisition date.

Expansion opportunities throughout Europe include many new markets which we will strategically expand through key distribution partners and retail partners. We see great opportunities to leverage our existing relationships with A.S. Watson, who owns several large retail chains throughout Europe. As an example in Germany, A.S. Watson owns wafering, the largest -- the second largest drugstore chains in Germany with over 3,800 locations. In addition, the team has ongoing discussions with several other new markets but our focus is to drive profitable growth by leveraging existing partnerships and relationships throughout Europe.

In the U.S., we see opportunities to leverage the innovative fast snack bars portfolio and are in the process of establishing a manufacturer partnership to initially launch the brand in the Fitness channel throughout in 2020, and we have already received great interest from our retailers and partners about the brand. We have great confidence in the Func Food management team. As over the last 12 months, they have demonstrated their ability to capitalize on market opportunities and have established effective marketing tactics which are driving market share and growth. Over the last 24 months, the team has been strapped working capital demands by being over leveraged which has put significant pressure on the business.

This acquisition provides the necessary capital for the team to focus on market opportunities growth and operational efficiencies to capitalize on the growing demand of the Celsius and fast portfolio. The division will be led by Robin Lybeck, our Managing Director of Europe. The existing CEO of Func Food Group has over 15 years of background in various sales and leadership roles and management roles in the beverage industry with such companies as Coca-Cola and Carlsberg Breweries.

In addition, the management team will include [ph] Brands, and Marketing Director of Southeast Europe has a strong marketing background from Coca-Cola and has served as the Head of Energy & Functional Beverages for Western Europe at Coke. And he's been with the company for over three years. In addition, our Finance Team will be led by with Juicy, Costava, who's been with Func Food and has prior working relationships and experience with OP which is the largest Financial Institution Bank in Finland.

Through this acquisition, we are gaining critical access to expanding European markets with a well-established operationally infrastructure and unique marketing platform. In addition, it provides us with the ability to bring an entirely new yet complementary product offering to consumers with the fast protein snack portfolio. This transaction puts Celsius in two of the fastest-growing categories in food and beverage, the energy category and the growing protein snack category with two complementary brands.

In addition the acquisition solidifies our position in the Nordics and provide additional scale and meaningful increases in our top line revenue, which enables us

to maintain our historical gross profit margins and extracted significant operational efficiencies that will allow us to continue to reinvest for growth.

That concludes our prepared remarks. Operator, you may now open the call for questions.

Questions And Answers

Operator

(Question And Answer)

(Operator Instructions) Our first question comes from comes from Jeff Van Sinderen with B. Riley & Company. Please proceed with your question.

Q - Jeff Van Sinderen {BIO 1507993 <GO>}

Good morning, everyone. First, let me say congratulations on the strong metrics, the Func acquisition and all the progress you're making as a brand and a company. Looks like your cash flow is about \$3 million through the quarter. Can you just touch on cash generation? And would you expect to generate cash going forward? And just to clarify, the cash we see on the balance sheet, that is after the Func acquisition, correct?

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Correct. Thank you, Jeff. Yes, absolutely. The cash that you see there, the \$20.5 million that we ended up with, is after the acquisition. And you're absolutely correct. We generated approximately \$3.5 million of cash in Q3. And to answer your question, yes, the expectation as we continue to grow, depending on our working capital needs, is that we will continue to generate some cash flow. But again, it's going to depend on the investments that we make in terms of working capital.

A - John Fieldly {BIO 17560616 <GO>}

Yes, just a further point. Thank you, Edwin, as well. If you look, there is a escrow portion on balance sheet as long term. The auditors, we put that earmarked, the funds in escrow for the acquisition. The additional capital, when you look at the cash generated, we kept inventory fairly tight throughout the quarter as well. We actually just went into large production runs in October, November and December. We'll be running fairly heavily heading into the back half of the year as we're seeing -- historically seeing great demand coming in Q1 and Q2. We have a lot of new retailers coming onboard as well. So we're excited about that, making sure we have ample supply. So we will be putting some of that capital to work within the business in our working capital needs.

Q - Jeff Van Sinderen {BIO 1507993 <GO>}

Okay. And then just to follow-up on that. You mentioned adding new retailers. Obviously, you've added a lot of retail doors and dramatically improved the shelf space and positioning in a number of retailers. On the retailers you mentioned that are new, we -- I know some of those may be tests. We've been seeing the product in some new places. Maybe you could just elaborate on that, where we might start to see the product appear? What other retailers might be out there for you to get into?

A - John Fieldly {BIO 17560616 <GO>}

Yes. Over the last, call it, late 2018, if you recall, we started to do some tests in retailers in 2018 and then we announced in Q1 Target expansion as well as CVS. We currently are testing in a variety of retailers. You'll probably see us in particular retailers in given markets. We have not disclosed those. One thing we're seeing right now is there's a lot of transformation taking place in the energy category that we talked about with consumers looking for healthy, better-for-you options.

Consumers react first, retailers react second, and we're getting a lot of interest as buyers right now, as we speak, we're in the midst of buyer season, are going through really category rationalizations in their category sets looking at what they should bring in for 2020. And we are one of those top picks on those item when you look at it, given our data -- our third-party data shows strong growth. We are on trend with our healthy better-for-you offerings, and we have the data to validate it. So, we're really excited about the position we're at and well positioned for 2020 to really capitalize the evolution of the energy drink category.

Q - Jeff Van Sinderen {BIO 1507993 <GO>}

Okay, great. And then I know you talked a little bit about the progress you're making in building out the DSD network. Can you just touch on any, I guess, improvement you might be seeing in stock-outs, given that your product seems to pretty much pull out the shelves? And as part of that, what do you think are the next key milestones in building the DSD network? And I guess, when we should see -- I think you mentioned Target converting to DSD. When something like that will happen?

A - John Fieldly {BIO 17560616 <GO>}

Yes. It's going to happen. We've been working with the buyers at Target as well as CVS. We actually, through 2020, have received authorization. We will be flipping from a direct store delivery model versus our current warehouse model as we solidify these regions within each key market. So, there is an inherent problem keeping up with a high-velocity demand as the buyer initially put us in through a warehouse fulfillment option at CVS and Target, and the product is getting a lot of velocity -- higher velocity. We're working with the replenishment buyers. But what really fixes this and really get -- be able to leverage this is moving to a DSD network. We anticipate about a 40% lift in some of these outlets, in some of these retail markets, moving to this route to market.

Now we're up to over 70. We started the year with 3 -- about 6, if you go back looking at in February when we announced bringing on some Anheuser-Busch strategic distribution partners. Today, we're up to over 70 with the likes of MillerCoors. We're really going to the best DSD partners in each market to solidify

these, to really cover these DMAs. So, New York City is our first. We have flipped over 7-Eleven to Big Geyser, and we're working on flipping Target in November over to Big Geyser. Our next market looks like it would be the Arizona market where we have full coverage and also in the Michigan market. And we're working on the Southeast market as well in those regions.

So we're making progress. We have a lot of interest. It takes time to build the DSD market. What we're doing is a major initiative. There's a lot of brands that don't even get to this point. We are confident on our ability to have a DSD network over the next 12 months due to the interest that we're receiving from some of these larger houses. What we have seen is moving through the holidays like July -- 4th of July weekend, moving into some of these busier holidays, it's really open windows to bring new partners into their DSD networks, into their distributors. So we're heading into the holiday here working very vigorously, but we'll probably -- we'll continue to make progress as we continue to move on.

Q - Jeff Van Sinderen {BIO 1507993 <GO>}

Okay. Great. Thanks for taking my questions and continued success.

A - John Fieldly {BIO 17560616 <GO>}

Thank you, Jeff.

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Thank you, Jeff.

Operator

(Operator Instructions) Our next question comes from Jeffrey Cohen with Ladenburg Thalmann. Please proceed with your question.

Q - Jeffrey Cohen {BIO 15765438 <GO>}

Hey, John and Edwin, how are you?

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Excellent. Excellent. How you doing, Jeff?

Q - Jeffrey Cohen {BIO 15765438 <GO>}

Doing well. Thank you. So just follow-up with Jeff's line of questions. So on the DSD network, what percent there do you feel like you're at? I mean is it -- does it feel like you're a third the way there, to where you'd like to be over the coming year or two or halfway there?

A - John Fieldly {BIO 17560616 <GO>}

I'll say we're about a third. We anticipate we'll need about 250 to 300 distributors to get our national coverage. We do have very methodical mapped out process on where we have holes and where we need to bring distributors onboard to flip over these regions, so -- to make sure we're covering these DMAs, these warehouses. So, we're going to see a continual progression into 2020. And the team is working really hard, and everyone is focused on this.

Q - Jeffrey Cohen {BIO 15765438 <GO>}

Okay, got it. And then a couple questions regarding Func as far as, firstly, how do things look on once you close it all, the \$9.4 million of debt? I guess, Edwin, what do you expect is the quarterly cost to carry the debt? I guess, the closing date is still scheduled for or was October 24. Is that right?

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Yes. It actually closed at -- on October 25. And yes, looking at that, I think, what was it, the quarterly was going to be something like \$200,000 or \$300,000 in terms of the interest. So yes, we're looking at that. We have good cash to probably service that, and we have several other alternatives going down the road to then see if we can obtain some long-term financing given that we don't have any -- basically, we have a very clean balance sheet and basically no debt aside from that.

Q - Jeffrey Cohen {BIO 15765438 <GO>}

Got it. And then, John, could you talk a little bit about the FAST portfolio? I know that you kind of pushed off on the protein snack portfolios, and it sounded like it would be a while. And what I'm hearing now is that, no, it's not going to be a while. And could you walk us through time lines on that? And when we expect to see introductions in North America and what channels we'd expect to see in 2020?

A - John Fieldly {BIO 17560616 <GO>}

Yes. I think we do see opportunity with the FAST portfolio in the protein snack bar category. We are looking for a profitable launch and being very methodical in our approach to bringing it to North America. We will be testing throughout 2020 like we start on online initiatives and through the fitness channel as we build out a consumer base and a community for the brand. As we all know, going into retail is very expensive. And we want to make sure we have built up consumer demand before we enter our retail partners. But some vitamin specialty retail partners you will likely see in 2020. But it will be more of a methodical approach, making sure we maintain our EBITDA and our focus. And the Celsius portfolio is our main focus.

Q - Jeffrey Cohen {BIO 15765438 <GO>}

Yes. Okay. Got it. And then 1 more question, if I may. Could you talk a little bit about any trends or recent activity from online channels as far as what you saw from Q3 and how that may look for Q4? Thank you.

A - John Fieldly {BIO 17560616 <GO>}

Yes. Thank you, Jeff. Actually, online activity is listed to where we launched in New York City and now has gone to Hollywood, and then we're out in LA markets and now we're in San Diego. We're seeing a lot of activity just within the Google Analytics as well as what's taking place on online at walmart.com and amazon.com as well as others. So Amazon sales have been extremely strong. They have continued to be extremely strong over the last, really, call it, 3 to 4 years. We always had a good presence. We have a high continuity rate, which is great. And we actually are even aligning further with an internal team to further expand our digital and online presence with all of our retail partners now moving to digital offerings.

When you look at shopping apps, that's a untapped channel for us. We're going to go and go after that in 2020 to really leverage these new mediums of how consumers are shopping and purchasing products. So we're really excited about what we're seeing on online. It remains a great channel for us. And it's exciting times for the company. I think that shows you as well is what we're building within a consumer base and a community. And as the brand continues to get further strength and more awareness and a further household penetration, it's great to see those numbers continue to increase each and every week. So we're excited about that.

Q - Jeff Van Sinderen {BIO 1507993 <GO>}

Fantastic. Okay great quarter but that's it for me. Thanks for taking the questions.

A - John Fieldly {BIO 17560616 <GO>}

Thank you, Jeff.

Q - Jeff Van Sinderen {BIO 1507993 <GO>}

Thank you.

Operator

Our next question is from comes from Anthony Vendetti with Maxim group. Please proceed with your question.

Q - Anthony Vendetti {BIO 1504352 <GO>}

So yes, so just on Func Foods, just the acquisition closed on the 25. I think if we took out the Celsius revenue, the annual revenue for Func Foods last year was around \$24 million, \$25 million, if I'm correct. I'm just wondering what the run rate is now on a quarterly basis. And should we expect that to start to grow here in the fourth quarter?

A - John Fieldly {BIO 17560616 <GO>}

Yes. Thank you, Anthony. Yes, that is correct. We will start to see that grow in the fourth quarter. I mentioned the new -- 2 new launches that we had, which was our Peach Vibe and Frozen Berry, was flawless execution, getting a lot of demand, so much demand that they actually sold out of the initial runs of both those flavors. So good momentum on the ground. Right now, they are heading into the holiday

season, which is traditionally a slower time in retail where you have a lot of novelties on the retail floors. So it will be in line with historical trends that the Func Food organization has had, but we will start to see the consolidated revenue. They saw about -- right around a 20% lift last quarter. So that was really great to see that in the Celsius portfolio, and there's a lot of opportunities to further grow of new channels of trade.

Up until this point, it really only focused on the hypermarkets, very little distribution and convenience. We know the energy drink category performs extremely well in the convenience channel. We are testing right now in Norway at 7-Eleven, and that will be really the first entry into 7-Eleven in the Nordics. So really excited about that opportunity. And then they just expanded into Finland -- one of the main retailers in Finland in the energy category. So really excited about initial feedback, and the acceptance of Peach Vibe has been really phenomenal. So you're looking at about a \$25 million increase conservatively for -- at the consolidated level as it is today. And then, I do -- we do feel there is additional opportunities for further growth. We're not really providing forward guidance on what that growth is, but there is upside potential that is embedded in the numbers.

Q - Anthony Vendetti {BIO 1504352 <GO>}

Okay, great. And then just a follow-up on international sales. I know there was -- as you change the China model to the royalty model, that impacted international sales. If you stripped out that piece of the business and just looked at the remainder of international sales, how would you gauge that in general?

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Well, Asia was about \$2.7 million last year. So, if you strip that out, then you're talking about -- in this year, we generated about \$630,000 in Asia. And then we had some other sales of about \$160,000. So all in all, I mean, we're growing from that perspective if you back out the China impact.

Q - Anthony Vendetti {BIO 1504352 <GO>}

Okay, okay. But -- backing up the China impact, that remains a small business, but the opportunity, particularly with Func Foods, is significant to grow that internationally, right?

A - John Fieldly {BIO 17560616 <GO>}

Yes. I think we see a lot of opportunity with Func Food. There's no question about it. In Asia, there's still opportunities in Asia. We do have our team in Hong Kong. It has been going through -- the retail market there has been troubling just due to the environment they're operating in. We do feel there is opportunities there to continue to grow. And then we did launch in Malaysia. And currently really through the quarter, we were gaining distribution through over 2,000 7-Elevens, so initially getting seeded in that market.

So, there is very much slow opportunities for international growth, very focused and disciplined. And North America is as well as the team's main focus because of the

opportunity we have here. When you take out some of the onetime charges, you look at a normalized growth rate, North America is growing at a 67% growth rate. And if you just look at North America's sales over the last 4 quarters, we're starting to see quarter-over-quarter revenue growth. So really great fundamentals and great growth rates we're seeing within each channel.

Q - Anthony Vendetti {BIO 1504352 <GO>}

Okay. And just to follow-up, John. Just on -- you've launched some new flavors, some new brands and so forth. Are there any in your portfolio -- as you're launching some of these new flavors, they're saying, hey, you know what, this is a flavor that maybe we discontinue and focus on the flavors that are working. And then just as a follow-up. Is there any marketing campaigns, new ones planned for the remainder of this year or the first quarter or next year?

A - John Fieldly {BIO 17560616 <GO>}

Excellent. Yes. You're always looking at flavor SKU rationalization. There is certain flavors within the portfolio, obviously, that are turning at a lower velocity rate than others. Right now, our number 1 flavor on a per point basis is kiwi guava. That flavor is performing extremely well. We do have Cola -- we have flavors like Cola, which is more of a traditional flavor that's been out there for some time. It does have -- what's great about some of our flavors and some of our relationships with our copackers, we can conduct smaller runs.

And with our online offerings through Amazon, walmart.com and several other offerings, as long as we're meeting the velocity rates to really provide reorders and able to turn the product due to these other avenues and alternative channels, we have such a great following behind the Cola product that there's a -- it does really great. It tastes great. Maybe it's not for everyone on the flavor profile, but we do have a specific fan base for that product. So when you look at a lower velocity item, that would be 1 of the flavors. But at this point, we're not looking to discontinue any flavors just because we are meeting all the hurdle rates and demands for the products.

So when you look at other areas we're focused on, we want to be innovative within each category. We want to bring in -- continue to bring innovative flavors out, and we will be on-trend with our fruit forward position. And as for marketing programs, we have a slew of marketing activities planned for 2020, which we're really excited about. I think you initially saw that with the Live Fit Tour, really interactive, experiential sampling, and what we do at Tough Mudder. We're also looking at other properties.

Another thing is, is currently further building out our community with the social digital media influencers and really getting that to a 360 integration with consumers in retail. And a big initiative for us is trade marketing, which -- now that we have DSD partners coming onboard, I don't know if anyone has been to any of the Krogers in Texas and other markets. But we are getting 100 case stack displays. We're looking to really build experiential displays in 2020, further driving awareness and trial.

Q - Anthony Vendetti {BIO 1504352 <GO>}

Okay, great. Thank you. Appreciate it John.

A - John Fieldly {BIO 17560616 <GO>}

Thank you.

Operator

Our next question is from Gerry Khermouch with Beverage Insights. Please proceed with your question.

Q - Gerry Khermouch {BIO 4237895 <GO>}

Hi, John, I joined the call a little bit late because KDP ran late. So if you covered this, my apologies. But HEAT seems to line up pretty well with the fitness energy leader, Bang. And I'm just kind of wondering what role you envision for that particular sublines?

A - John Fieldly {BIO 17560616 <GO>}

Excellent. Thank you, Gerry. The HEAT portfolio -- we had some experience -- really some very tough competition heading into really the second quarter this year. As you know, REIGN launched with the BOGO and Bang with VPX was also doing heavy discounts. So we do see the HEAT portfolio as a major player in the performance energy category. We're getting interest from many retailers there. And it is definitely a major -- going to be a major contributor in our portfolio going forward as well. So there has been a lot of competition in that 16-ounce category. And we expect that the competitive set to continue to be very competitive heading into 2020. But we do have -- with our differentiated offering, we do feel there's a great place for the Celsius HEAT in our portfolio and in retail buyer shelf space.

Q - Gerry Khermouch {BIO 4237895 <GO>}

Okay, thanks.

A - John Fieldly {BIO 17560616 <GO>}

Thank you, Jerry.

A - Edwin F. Negron-Carballo {BIO 20717398 <GO>}

Thanks.

Operator

We have reached the end of the question-and-answer session. At this time, I'd like to turn the call back to John Fieldly for closing comment.

A - John Fieldly {BIO 17560616 <GO>}

Thank you, Rob. Thank you, everyone. On behalf of the company, we'd like to thank everyone for their continued interest. Our third quarter results demonstrates our products are gaining considerable momentum as we're capitalizing on today's health and wellness trends and the changes taking place in the energy category. Our active healthy lifestyle position is a global position with mass appeal. We're building upon our core and leveraging opportunities and deploying best practices.

We have a winning portfolio and strategy and a large, rapidly growing market that consumers want. And our mission is to bring Celsius to more consumers profitably. I'm very proud of our dedicated team, as without them our tremendous achievements and significant opportunities we see ahead would not be possible. In addition, I thank all of our investors for their continued support and confidence in our team. Thank you, everyone, for your interest in Celsius, and have a great day.

Operator

This concludes today's conference. You may disconnect your lines at this time, and we thank you for your participation.

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